

Customer Relationship Management

Module 2 – CRM Concepts

For CS Students | Simple & To-the-Point

1. Customer Value

Definition: The benefit a customer gets from a product minus the cost (money, time, effort) they pay.

$$\text{Customer Value} = \text{Perceived Benefits} - \text{Perceived Costs}$$

Types of value:

- **Functional** – product works well (a fast laptop).
- **Emotional** – feels good to use (Apple products feel premium).
- **Social** – status from owning it (luxury brands).
- **Economic** – saves money (Jio SIM).

Example: You pay Rs. 999/month for Netflix. If you watch 3 movies and 2 series, you feel you got good value. If you watch nothing, the value is zero – same cost, different perceived benefit.

2. Customer Expectation

Definition: What a customer *anticipates* before buying or using a product/service. Expectations are shaped by past experience, word of mouth, and marketing.

Types:

Type	Meaning
Explicit	Clearly stated (“I want delivery in 2 days”)
Implicit	Assumed without saying (food should be hygienic)
Static	Fixed standard that doesn’t change
Dynamic	Expectations that rise over time with better competitors

Example: When you order on Swiggy, you explicitly expect food in 30 min, and implicitly expect it to be hot. If it arrives cold – implicit expectation failed – you are dissatisfied even if it was on time.

3. Customer Satisfaction

Definition: The degree to which a product/service meets or exceeds customer expectations.

$$\text{Satisfaction} = \text{Perceived Performance} - \text{Expected Performance}$$

- **Result > 0:** Customer is delighted (exceeded expectations).
- **Result = 0:** Customer is satisfied (met expectations).

- **Result** < 0: Customer is dissatisfied (fell short).

Key Point: Satisfaction does *not* guarantee loyalty – a satisfied customer may still switch for a better price.

Example: You expect a Zomato delivery in 40 min; it arrives in 25 min with a free dessert coupon. Result > 0 – you are *delighted*. You are likely to order again and recommend it.

4. Customer Centricity

Definition: A business strategy where all decisions are made by putting the customer's needs at the centre. Every department – product, sales, support – focuses on the customer's best outcome.

Customer-Centric vs Product-Centric:

Product-Centric	Customer-Centric
Build product, find buyers Goal: sell more units “What can we make?”	Find customer needs, build product Goal: maximise customer lifetime value “What does the customer need?”

Example: Amazon's return policy is customer-centric – no-questions-asked returns prioritise customer trust over short-term cost. A product-centric company would make returns difficult to save money.

5. Customer Acquisition

Definition: The process of gaining new customers through marketing, advertising, and sales efforts.

Key Metric:

$$\text{Customer Acquisition Cost (CAC)} = \frac{\text{Total Marketing} + \text{Sales Spend}}{\text{No. of New Customers Acquired}}$$

Acquisition Channels:

- Digital ads (Google, Instagram), SEO, email campaigns.
- Referral programmes, word of mouth.
- Discounts and free trials (e.g., Spotify free tier).

Example: Paytm spent heavily on cashback offers to acquire users in 2016–17. CAC was high initially but the strategy built a large user base. A CRM system tracks which channels bring the most profitable customers.

6. Customer Retention

Definition: The ability of a company to keep its existing customers over a period of time.

$$\text{Retention Rate} = \frac{\text{Customers at End} - \text{New Customers}}{\text{Customers at Start}} \times 100\%$$

Why it matters: Retaining a customer costs $5-7\times$ *less* than acquiring a new one.

Retention Strategies:

- Loyalty programmes (Starbucks Stars, airline miles).
- Personalised communication via CRM.
- Proactive issue resolution.
- Subscription models (auto-renew locks customer in).

Example: Airtel sends a personalised recharge offer to a customer who hasn't recharged in 10 days (churn signal detected by CRM). This proactive outreach retains the customer before they switch to Jio.

7. Customer Loyalty

Definition: A customer's consistent preference for and repeated purchase from a brand, even when alternatives exist.

Levels of Loyalty (Ladder):

Suspect → Prospect → Customer → Client → Advocate → Partner

Types:

- **Behavioural Loyalty:** Repeat purchase (habit-driven, not emotional).
- **Attitudinal Loyalty:** Emotional attachment – customer actively recommends brand.

NPS (Net Promoter Score): Measures loyalty by asking: "How likely are you to recommend us? (0–10)"

- 9–10: Promoters. 7–8: Passives. 0–6: Detractors.
- $NPS = \%Promoters - \%Detractors$

Example: An iPhone user who upgrades every 2 years, recommends it to friends, and refuses to consider Android has *attitudinal loyalty*. A person who shops at the nearest grocery store only out of habit has *behavioural loyalty*.

8. Customer Lifetime Value (CLV)

Definition: The total net profit a company earns from a customer throughout their entire relationship.

$$CLV = \text{Avg. Purchase Value} \times \text{Purchase Frequency} \times \text{Customer Lifespan}$$

Why it matters: Helps decide how much to spend on acquiring and retaining a customer. If $CLV = \text{Rs. } 10,000$, spending Rs. 8,000 to acquire them is profitable.

Improving CLV:

- Up-sell (premium version), cross-sell (related products).
- Improve retention – longer relationship = higher CLV.

- Reduce cost to serve (self-service portals, chatbots).

Example: A gym member pays Rs. 2000/month. If they stay 3 years: $CLV = 2000 \times 12 \times 3 = \text{Rs. } 72,000$. The gym can justify spending Rs. 3,000 in ads to acquire one such member.

9. Customer Experience Management (CEM)

Definition: The practice of designing and managing all customer interactions with a brand to meet or exceed expectations at every *touchpoint*.

CEM vs CRM:

CRM	CEM
Company's view of the customer	Customer's view of the company
Data-driven, back-end	Experience-driven, front-end
Tracks transactions	Tracks emotions and interactions

Touchpoints: Every moment a customer interacts – website, app, store, invoice, support call, social media.

Example: When you book a Zomato order, the entire journey – app UI, order confirmation, tracking map, delivery agent's behaviour, packaging, food quality – is the *customer experience*. CEM ensures each step delights you.

10. Customer Profitability

Definition: The profit generated from a specific customer after deducting all costs of acquiring and serving them.

$$\text{Customer Profit} = \text{Revenue from Customer} - \text{Cost to Serve}$$

Customer Profitability Analysis (CPA): Segments customers by profitability:

Segment	Profit Level	CRM Action
Platinum	Highest	Reward, protect, grow
Gold	High	Upsell to Platinum
Silver	Medium	Improve efficiency
Lead/Iron	Low/Negative	Reduce cost to serve

Example: A bank's high-net-worth client (Rs. 50L FD, rare support calls) is *Platinum*. A customer with a Rs. 500 account who calls support 3 times a week may be *Lead* – costing more to serve than they generate.

11. Enterprise Marketing Management (EMM)

Definition: A company-wide approach to planning, executing, and measuring all marketing activities using integrated software and data.

Key Components:

- **Campaign Management:** Plan and run marketing campaigns across channels.
- **Marketing Analytics:** Measure what campaigns work and why.

- **Customer Segmentation:** Divide customers for targeted messaging.
- **Content Management:** Manage marketing assets (emails, banners, videos).
- **Budget Management:** Allocate and track marketing spend.

EMM Tools: Salesforce Marketing Cloud, Oracle Eloqua, Adobe Marketo.

Example: A bank's EMM system simultaneously manages: an email campaign for home loans, an SMS campaign for credit cards, social media ads for savings accounts – all from one platform, with analytics showing which channel gives best ROI.

12. Customer Satisfaction Measurements

Key Methods to Measure Satisfaction:

1. **CSAT (Customer Satisfaction Score):** Survey asks: “How satisfied were you? (1–5)”

$$\text{CSAT} = \frac{\text{Positive Responses}}{\text{Total Responses}} \times 100\%$$

2. **NPS (Net Promoter Score):** “How likely to recommend? (0–10)”

$$\text{NPS} = \% \text{Promoters} - \% \text{Detractors}$$

3. **CES (Customer Effort Score):** “How easy was it to resolve your issue?” (1–7 scale).
Lower effort = higher satisfaction.
4. **Mystery Shopping:** Hired evaluators pose as customers to test service quality.
5. **Complaint Analysis:** Track and categorise complaints to find patterns.
6. **Churn Rate:** High churn = low satisfaction.

$$\text{Churn Rate} = \frac{\text{Customers Lost}}{\text{Start Customers}} \times 100\%$$

Example: After every Uber ride, you rate 1–5 stars (CSAT). Uber uses this to identify low-rated drivers and intervene before more customers churn. CES would ask: “How easy was it to book your ride?”

13. Web-Based Customer Support

Definition: Providing customer service through internet-based channels instead of (or in addition to) traditional methods like phone or in-person.

Key Channels:

Channel	Description
Live Chat	Real-time text support on website/app
Chatbot / AI Bot	24/7 automated responses to FAQs
Email Support	Ticket-based; tracked via helpdesk tools
Self-Service Portal	FAQs, knowledge base, video tutorials
Community Forums	Customers help each other (e.g., Stack Overflow model)
Social Media Support	Twitter/Facebook DMs for public complaints

Advantages:

- Available 24/7 (bots never sleep).
- Lower cost than phone support.
- Trackable – every interaction logged in CRM.
- Scalable – one chatbot handles thousands simultaneously.

Example: Paytm's app has a chatbot that resolves 70% of queries automatically (failed transactions, KYC status). Only complex issues escalate to a human agent. All interactions are logged in Paytm's CRM – CES is measured after each session.

Quick Revision – Key Terms & Formulas

Term / Formula	One-liner
Customer Value	Benefits – Costs (perceived)
Satisfaction Formula	Perceived Performance – Expected Performance
Customer Centricity	All decisions revolve around the customer
CAC	Total spend / New customers acquired
Retention Rate	$(\text{End} - \text{New}) / \text{Start} \times 100$
Loyalty Ladder	Suspect → Prospect → Customer → Advocate
NPS	%Promoters – %Detractors
CLV	Avg value × Frequency × Lifespan
CEM	Managing all touchpoints to shape customer experience
CPA Tiers	Platinum, Gold, Silver, Lead
EMM	Enterprise-wide marketing management using software
CSAT	Positive responses / Total × 100
CES	How easy was it? Lower effort = more loyal
Churn Rate	Lost customers / Start customers × 100
Web Support	Chat, bots, email tickets, self-service portals

End of Module 2 Notes – Good Luck with your Exam!